Financial Statement Analysis – Reliance Industries Ltd (Consolidated)

1. Introduction

This project studies the financial performance and financial health of Reliance Industries Ltd using its consolidated financial statements for five years, from FY2021 to FY2025. Reliance Industries is a large publicly listed company operating in different businesses such as oil and gas, petrochemicals, retail, digital services, and new energy.

The main purpose of this project is to understand how strong the company is financially, how well it earns profits, how efficiently it uses its resources, and whether it is financially stable in the long run. This is done using financial ratios, trend analysis, profitability analysis, and overall financial health evaluation.

2. Data Source and Validation

Financial data used in this project has been obtained from Screener.in and Money control, using the consolidated financial statements of Reliance Industries Ltd for FY2021–FY2025.

Screener.in was used for Profit & Loss, Balance Sheet totals, Cash Flow data, and operational ratios, while Money control was used to obtain consolidated current assets, current liabilities, inventories, and cash & cash equivalents, which are required for textbook liquidity ratio calculations.

Consolidated data is used because it shows the combined performance of Reliance and all its subsidiary companies.

Screenshots of the Profit & Loss Statement, Balance Sheet, and Cash Flow Statement are included in the report to clearly prove that the data was taken from Screener.in. These screenshots act as evidence that the analysis is based on real and reliable data.

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Figure 1: Profit & Loss Statement (FY2021–FY2025) – Screener.in

Profit & Loss

Consolidated Figures in Rs. Crores / View Standalone

	Mar 2014	Mar 2015	Mar 2016	Mar 2017	Mar 2018	Mar 2019	Mar 2020	Mar 2021	Mar 2022	Mar 2023	Mar 2024	Mar 2025	TTM
Sales +	433,521	374,372	272,583	303,954	390,823	568,337	596,679	466,307	694,673	876,396	899,041	962,820	999,629
Expenses +	398,586	336,923	230,802	257,647	326,508	484,087	507,413	385,517	586,092	734,078	736,543	797,222	823,218
Operating Profit	**34,935**	**37,449**	**41,781**	**46,307**	**64,315**	**84,250**	**89,266**	**80,790**	**108,581**	**142,318**	**162,498**	**165,598**	**176,411**
OPM %	8%	10%	15%	15%	16%	15%	15%	17%	16%	16%	18%	17%	18%
Other Income +	8,865	8,528	12,212	9,222	9,869	8,406	8,570	22,432	19,600	12,020	15,792	17,824	28,720
Interest	3,836	3,316	3,691	3,849	8,052	16,495	22,027	21,189	14,584	19,571	23,118	24,269	26,197
Depreciation	11,201	11,547	11,565	11,646	16,706	20,934	22,203	26,572	29,782	40,303	50,832	53,136	54,918
Profit before tax	**28,763**	**31,114**	**38,737**	**40,034**	**49,426**	**55,227**	**53,606**	**55,461**	**83,815**	**94,464**	**104,340**	**106,017**	**124,016**
Tax %	22%	24%	23%	25%	27%	28%	26%	3%	19%	22%	25%	24%	
Net Profit +	**22,548**	**23,640**	**29,861**	**29,833**	**36,080**	**39,837**	**39,880**	**53,739**	**67,845**	**74,088**	**79,020**	**81,309**	**97,416**
EPS in Rs	16.31	17.07	21.51	21.55	26.69	29.28	29.10	38.75	44.87	49.29	51.45	51.47	61.41
Dividend Payout %	12%	12%	10%	11%	10%	10%	10%	9%	9%	9%	10%	11%	

Figure 2: Balance Sheet (FY2021–FY2025) – Screener.in

Balance Sheet

Consolidated Figures in Rs. Crores / View Standalone

	Mar 2014	Mar 2015	Mar 2016	Mar 2017	Mar 2018	Mar 2019	Mar 2020	Mar 2021	Mar 2022	Mar 2023	Mar 2024	Mar 2025	Sep 2025
Equity Capital	2,940	2,943	2,948	2,959	5,922	5,926	6,339	6,445	6,765	6,766	6,766	13,532	13,532
Reserves	195,747	215,556	228,608	260,750	287,584	381,186	442,827	693,727	772,720	709,106	786,715	829,668	863,748
Borrowings +	138,761	168,251	194,714	217,475	239,843	307,714	355,133	278,962	319,158	451,664	350,719	374,313	374,593
Other Liabilities +	91,395	117,736	172,727	225,618	277,924	302,804	358,716	340,931	399,979	438,346	610,848	732,200	787,073
Total Liabilities	**428,843**	**504,486**	**598,997**	**706,802**	**811,273**	**997,630**	**1,163,015**	**1,320,065**	**1,498,622**	**1,605,882**	**1,755,048**	**1,949,713**	**2,038,946**
Fixed Assets +	141,417	156,458	184,910	198,526	403,885	398,374	532,658	541,258	627,798	724,805	779,985	999,393	1,096,375
CWIP	91,494	166,462	228,697	324,837	187,022	179,463	109,106	125,953	172,506	293,752	338,855	262,358	217,097
Investments	60,602	76,451	84,015	82,899	82,862	235,635	276,767	364,828	394,264	235,560	225,672	242,381	256,335
Other Assets +	135,330	105,115	101,375	100,540	137,504	184,158	244,484	288,026	304,054	351,765	410,536	445,581	469,139
Total Assets	**428,843**	**504,486**	**598,997**	**706,802**	**811,273**	**997,630**	**1,163,015**	**1,320,065**	**1,498,622**	**1,605,882**	**1,755,048**	**1,949,713**	**2,038,946**

Note: Detailed working-capital components were sourced from Money control due to limited disclosure in Screener's consolidated summary view.

Figure 3: Cash Flow Statement (FY2021–FY2025) – Screener.in

Cash Flows

Consolidated Figures in Rs. Crores / View Standalone

	Mar 2014	Mar 2015	Mar 2016	Mar 2017	Mar 2018	Mar 2019	Mar 2020	Mar 2021	Mar 2022	Mar 2023	Mar 2024	Mar 2025
Cash from Operating Activity +	43,261	34,374	38,134	49,550	71,459	42,346	94,877	26,958	110,654	115,032	158,788	178,703
Cash from Investing Activity +	-73,070	-64,706	-36,186	-66,201	-68,192	-94,507	-72,497	-142,385	-109,162	-93,001	-113,581	-137,535
Cash from Financing Activity +	13,713	8,444	-3,210	8,617	-2,001	55,906	-2,541	101,904	17,289	10,455	-16,646	-31,891
Net Cash Flow	**-16,096**	**-21,888**	**-1,262**	**-8,034**	**1,266**	**3,745**	**19,839**	**-13,523**	**18,781**	**32,486**	**28,561**	**9,277**

<u>Excel Data Validation</u>

Excel Input Sheet (Raw_Data)

These figures shows the raw financial data entered into Excel exactly as obtained from Screener.in. No calculations are performed in this sheet. It serves as the base dataset for all ratio calculations and ensures traceability and data accuracy.

Line Item	FY2021	FY2022	FY2023	FY2024	FY2025
Sales (Rs Cr)	466307	694673	876396	899041	962820
Operating Profit / EBIT (Rs Cr)	80790	108581	142318	162498	165598
Net Profit (Rs Cr)	53739	67845	74088	79020	81309
EPS (Rs)	38.75	44.87	49.29	51.45	51.47
Dividend Payout %	0.09	0.09	0.09	0.1	0.11
Equity Capital (Rs Cr)	6445	6765	6765	6766	13532
Reserves (Rs Cr)	693727	772720	709106	786715	829668
Borrowings (Rs Cr)	278962	319158	451664	350719	374313
Other Liabilities (Rs Cr)	340931	399979	438346	610848	732200
Total Assets (Rs Cr)	1320065	1498622	1605882	1755048	1949713
sh from Operating Activity / CFO (Rs Cr)	26958	110654	115032	158788	178703
Debtor Days	15	12	12	13	16
Inventory Days	102	83	87	95	85
Days Payable	136	123	91	111	108
l Current Assets (Rs Cr) — Moneycontrol	373011	347019	425296	470100	499270
Inventories (Rs Cr) — Moneycontrol	146062	152770	140008	107778	81672
: Cash Equivalents (Rs Cr) — Moneycontrol	17397	36178	68664	97225	106502
Current Liabilities (Rs Cr) — Moneycontrol	277568	308662	395744	397367	453737

3. Methodology

The project follows a step-by-step method to analyse the company:

1. First, the company (Reliance Industries Ltd), time period (FY2021–FY2025), and data type (consolidated) were fixed.
2. Real financial data was collected directly from Screener.in.
3. An Excel file was prepared where raw data, calculations, and charts were kept separately for clarity.
4. Financial ratios were calculated using standard formulas.
5. Trends were analysed over five years to understand long-term performance.

6. Finally, all results were interpreted to judge the company's financial health.
7. Liquidity ratios (Current Ratio, Quick Ratio, Cash Ratio) were calculated using consolidated working-capital data from Money control, while other ratios were calculated using Screener-based financial data.

This method ensures that the analysis is clear, accurate, and systematic.

4. Financial Ratio Analysis

4.1 Liquidity Ratios

Liquidity ratios show whether the company can pay its **short-term bills and obligations**.

Current Ratio

This ratio shows whether the company has enough current assets to pay its current liabilities. A value greater than 1 means the company can comfortably meet short-term obligations.

Definition: Measures short-term solvency.
Formula: Current Assets / Current Liabilities
Excel Formula: =Current Assets/Current Liabilities
Interpretation: A ratio above 1 indicates adequate liquidity.

Quick Ratio

This ratio checks liquidity without considering inventory. It shows how well the company can pay short-term dues using assets that can be quickly converted into cash.

Definition: Measures immediate liquidity excluding inventory.
Formula: (Current Assets – Inventory) / Current Liabilities
Excel Formula: =(Current Assets-Inventory)/Current Liabilities
Interpretation: Indicates ability to meet obligations without relying on inventory.

Cash Ratio

This ratio measures the company's ability to meet short-term obligations using only cash and cash-equivalent assets.

Formula: Cash & Cash Equivalents / Current Liabilities
Excel Formula: =Cash & Cash Equivalents / Current Liabilities
Interpretation: Higher values indicate stronger immediate liquidity and lower reliance on inventory or receivables.

Operating Cash Coverage Ratio

This ratio shows the company's ability to service short-term obligations using **internally generated operating cash flows**, providing a cash-flow-based view of liquidity.A higher value means better immediate financial safety.

Definition: Measures ability to service short-term obligations using operating cash flows rather than balance-sheet cash.
Formula: Cash Flow from Operations / Other Liabilities
Interpretation: Higher values indicate stronger cash-backed liquidity.

4.2 Profitability Ratios

Profitability ratios show **how well the company earns profits**.

Operating Profit Margin (OPM)

This ratio shows how much profit the company earns from its main business operations.

Formula: Operating Profit / Revenue
Excel Formula: =Operating Profit/Revenue

Net Profit Margin (NPM)

This ratio shows how much profit remains after all expenses, interest, and taxes.

Formula: Net Profit / Revenue
Excel Formula: =Net Profit/Revenue

Return on Assets (ROA)

This ratio shows how efficiently the company uses its assets to generate profit.

Formula: Net Profit / Total Assets
Excel Formula: =Net Profit/Total Assets

Return on Equity (ROE)

This ratio shows how much return the company generates for its shareholders.

Formula: Net Profit / (Equity Capital + Reserves)
Excel Formula: =Net Profit/(Equity Capital + Reserves)

4.3 Efficiency Ratios

Efficiency ratios show **how well the company uses its assets and manages working capital**.

Asset Turnover

This ratio shows how efficiently assets are used to generate sales.

Formula: Revenue / Total Assets
Excel Formula: =Revenue/Total Assets

Inventory Turnover

This ratio shows how quickly inventory is sold and replaced.

Formula: 365 / Inventory Days
Excel Formula: =365/Inventory Days

Receivables Turnover

This ratio shows how quickly the company collects money from customers.
Higher efficiency ratios usually indicate better operational performance.

Formula: 365 / Debtor Days
Excel Formula: =365/Debtor Days

4.4 Leverage Ratios

Leverage ratios show **how much debt the company uses and how risky its capital structure is**.

Debt-to-Equity Ratio

This ratio compares borrowed funds with shareholders' funds. A lower value means lower financial risk.

Formula: Borrowings / (Equity Capital + Reserves)
Excel Formula: =Borrowings/(Equity Capital + Reserves)

Debt Ratio

This ratio shows how much of the company's assets are financed by debt.

Together, these ratios help understand the company's long-term financial stability.

Formula: Borrowings / Total Assets
Excel Formula: =Borrowings/Total Assets

4.5 Market Value Ratios

Market value ratios show **how investors view the company**.

Price-Earnings (P/E) Ratio

This ratio shows how much investors are willing to pay for each rupee of earnings.

Formula: Market Price / EPS
Excel Formula: =Price/EPS

Dividend Yield

This ratio shows the return investors receive as dividends compared to the share price.

Formula: (EPS × Dividend Payout %) / Price
Excel Formula: =(EPS*Dividend Payout)/Price

Book Value per Share (BVPS)

BVPS represents the accounting value attributable to each share. BVPS increased steadily from FY2021 to FY2024, reflecting retained earnings and equity growth. The apparent decline in FY2025 is due to a substantial increase in equity capital (share count adjustment), not a reduction in total equity.
The increase in equity capital during FY2025 significantly increased the number of outstanding shares, which mechanically reduced BVPS despite growth in total equity.

This shows the accounting value of the company per share.

Formula: (Equity Capital + Reserves) / Number of Shares
Excel Formula: =(Equity Capital + Reserves)/(Equity Capital/10)

Excel-Based Ratio Calculations

Excel Calculation Sheet (Calculated_Ratios)

The Excel analysis workbook is structured into separate sheets for raw financial inputs, calculated ratios, and trend preparation. Raw data sheets contain figures sourced directly from Screener.in and Money control without modification. All ratios are calculated using standard Excel formulas, ensuring transparency, traceability, and consistency between the Excel file, the report, and the presentation.

Liquidity Ratios (Textbook definitions – Consolidated, Moneycontrol inputs)					
Liquidity					
Ratio	**FY2021**	**FY2022**	**FY2023**	**FY2024**	**FY2025**
Current Ratio = Total Current Assets / Total Current Liabilities	1.34	1.12	1.07	1.18	1.10
Quick Ratio = (Current Assets – Inventories) / Current Liabilities	0.82	0.63	0.72	0.91	0.92
Cash Ratio = Cash & Cash Equivalents / Current	0.06	0.12	0.17	0.24	0.23
Operating Cash Coverage = CFO / Other Liabilities	0.08	0.28	0.26	0.26	0.24

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Profitability Ratios

Margins and Returns

Ratio	FY2021	FY2022	FY2023	FY2024	FY2025
EBIT Margin = EBIT / Sales	17.33%	15.63%	16.24%	18.07%	17.20%
Net Profit Margin = Net Profit / Sales	11.52%	9.77%	8.45%	8.79%	8.44%
ROA = Net Profit / Total Assets	4.07%	4.53%	4.61%	4.50%	4.17%
ROE = Net Profit / (Equity Capital + Reserves)	7.68%	8.70%	10.35%	9.96%	9.64%

Efficiency Ratios

Turnover and Working Capital Efficiency

Ratio	FY2021	FY2022	FY2023	FY2024	FY2025
Asset Turnover = Sales / Total Assets	0.35	0.46	0.55	0.51	0.49
Inventory Turnover = 365 / Inventory Days	3.58	4.40	4.20	3.84	4.29
Receivables Turnover = 365 / Debtor Days	24.33	30.42	30.42	28.08	22.81
DSO (days)	15	12	12	13	16

Leverage Ratios

Capital Structure

Ratio	FY2021	FY2022	FY2023	FY2024	FY2025
Debt Ratio = Borrowings / Total Assets	0.211	0.213	0.281	0.200	0.192
Equity Ratio = (Equity+Reserves) / Total Assets	0.530	0.520	0.446	0.452	0.432
Debt-to-Equity = Borrowings / (Equity+Reserves)	0.398	0.409	0.631	0.442	0.444

Market Value Ratios (Indicative — current price basis)

Market Ratios

Ratio	FY2021	FY2022	FY2023	FY2024	FY2025
P/E = Current Price / EPS	40.15	34.68	31.57	30.24	30.23
Dividend Yield (est.) = (Payout% × EPS) / Price	0.22%	0.26%	0.29%	0.33%	0.36%
BVPS (₹) = (Equity+Reserves) / Shares Outstanding	1086	1152	1058	1173	623

5. Trend Analysis

Trend analysis studies show how the company’s performance has changed over five years. By comparing FY2021 to FY2025, trends in revenue, profits, returns, and book value can be clearly seen. This helps in understanding long-term growth rather than short-term changes.

<u>Excel Trend and Chart Preparation</u>

This sheet organizes key financial indicators and ratios into a chart-ready format. The data from this sheet was used to generate trend graphs and visualizations in the analysis and presentation, ensuring consistency between numerical analysis and visual interpretation.

Tables for PPT (all linked to Calculated_Ratios)

Slide 3: Liquidity Ratios (Use these, not proxies)

Year	2021	2022	2023	2024	2025
Current Ratio = Total Current Assets / Total Current Liabilities	1.34	1.12	1.07	1.18	1.1
Quick Ratio = (Current Assets − Inventories) / Current Liabilities	0.82	0.63	0.72	0.91	0.92
Cash Ratio = Cash & Cash Equivalents / Current Liabilities	0.06	0.12	0.17	0.24	0.23
Operating Cash Coverage = CFO / Other Liabilities	0.08	0.28	0.26	0.26	0.24

Slide 4: Profitability Ratios

Year	2021	2022	2023	2024	2025
EBIT Margin = EBIT / Sales	0.1733	0.1563	0.1624	0.1807	0.172
Net Profit Margin = Net Profit / Sales	0.1152	0.0977	0.0845	0.0879	0.0844
ROA = Net Profit / Total Assets	0.0407	0.0453	0.0461	0.045	0.0417
ROE = Net Profit / (Equity Capital + Reserves)	0.0768	0.087	0.1035	0.0996	0.0964

Slide 5: Efficiency Ratios

Year	2021	2022	2023	2024	2025
Asset Turnover = Sales / Total Assets	0.35	0.46	0.55	0.51	0.49
Inventory Turnover = 365 / Inventory Days	3.58	4.4	4.2	3.84	4.29
Receivables Turnover = 365 / Debtor Days	24.33	30.42	30.42	28.08	22.81
DSO (days)	15	12	12	13	16

Slide 6: Leverage Ratios

Year	2021	2022	2023	2024	2025
Debt Ratio = Borrowings / Total Assets	0.211	0.213	0.281	0.2	0.192
Equity Ratio = (Equity+Reserves) / Total Assets	0.53	0.52	0.446	0.452	0.432
Debt-to-Equity = Borrowings / (Equity+Reserves)	0.398	0.409	0.631	0.442	0.444

Slide 7: Market Value Ratios

Year	2021	2022	2023	2024	2025
P/E = Current Price / EPS	40.15	34.68	31.57	30.24	30.23
Dividend Yield (est.) = (Payout% × EPS) / Price	0.0022	0.0026	0.0029	0.0033	0.0036
BVPS (₹) = (Equity+Reserves) / Shares Outstanding	1086	1152	1058	1173	623

6. Profitability Assessment

The profitability analysis shows that Reliance Industries Ltd has been able to earn **stable and consistent profits** over the five-year period from FY2021 to FY2025. The company's profit margins indicate that it manages its costs well and continues to generate profits from its main business activities despite changes in market conditions.

Reliance's **diversified business operations** help maintain profitability. Since the company operates in multiple sectors such as energy, retail, and digital services, lower performance in one area is balanced by better performance in others. This reduces risk and supports steady profitability even during difficult economic periods.

7. Financial Health Evaluation

By combining liquidity, profitability, efficiency, leverage, and market analysis, the overall financial health of Reliance Industries Ltd is assessed as strong. The company has:

- **Adequate liquidity** :- The company maintains current ratios above 1 and improving quick and cash ratios, indicating sufficient short-term solvency supported by operating cash flows.

- **Controlled debt levels** :- The company maintains a balanced capital structure with manageable borrowings, reducing financial risk.

- **Efficient operations** :- Assets and working capital are used effectively to support business activities and generate revenue.

- **Stable cash flows** :- Consistent cash generation from operations supports day-to-day activities and long-term growth.

8. Conclusion

Based on the complete financial analysis, Reliance Industries Ltd is **financially strong** and well-positioned for **long-term growth**. The company demonstrates good profitability, a stable financial structure, and effective management of its resources.

Overall, Reliance Industries Ltd shows **consistent value creation for shareholders** and maintains a balanced financial position, which supports sustainable growth and financial stability in the future.

Overall, Reliance Industries Ltd exhibits strong financial health, supported by stable profitability, efficient operations, and a prudent capital structure. While return ratios are moderated by capital-intensive expansion, cash generation, controlled leverage, and diversified operations position the company well for sustainable long-term growth.

9. References

Screener.in – Reliance Industries Ltd (Consolidated Financial Statements).

Money control – Reliance Industries Ltd (Consolidated Balance Sheet and Working Capital Data).